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Group Case 4: EatApp: Building and Monetizing an End-to-End Dining Experience Solution

NIA Q1. Assess Eat App's tiered pricing structure, as shown in case Exhibit 7a (free, starter, essential, pro). Are the tiers and price points aligned with the startup's strategic goals? Would you suggest any changes?

The tiered pricing structure is aligned with the product led growth strategy. The adoption barriers are lowered which creates a clear upgrade path from Basic to Pro prior to June 2022. The unlimited cover model targets consumers who are looking for a clear and direct option through simplifying the customer proposition. The differentiated SMS option provides a mechanism to easily upsell to potential consumers. The tiered pricing model's additions in February 2024 allow high volume restaurants additional monetized options, reducing cost risks. The usage based monetization heightens consumer choice through the "free" and "starter" options. Large restaurant groups may benefit from having access to personalized tiers. Eat App would be able to maintain low friction consumer acquisition while revenue is aligned with values and variable costs depending on the market.

The free tier is essential for customer acquisition, the starter tier allows for monetization, the essential tier is the core consumer and the pro tier is for high value consumers. Eat App's tiered structure involves several pricing dimensions including the subscription fee, covers, SMS messages, and features which heightens complexity. The gross margins can be protected if SMS was priced as a usage based variable. The free tier allows adoption friction to be reduced. Essential's unlimited covers may capture more value, without the incentive of upgrading to Pro, while the large annual discounts reduce revenue capture. SMS should be moved to usage-based pricing because its variable cost can exceed Eat App's fixed subscription economics. Large enterprise consumers such as Four Seasons should receive customized contracts as opposed to being placed in the standard tier structure.

Nia/ Heven Q2. Eat App is losing money on SMSs in many markets. Use the data in case Exhibits 11a and 11b to evaluate the impact of reducing or eliminating SMS quotas in existing tiers, increasing fixed rates, expanding the number of country categories, and switching to cost-based variable pricing. Which strategy do you recommend (if any) and why? Note: **(HEVEN)**

The strategy recommendation would be a hybrid strategy: reduce the free SMS quotas by 50% and replace the current two-country pricing categories with five cost-based fixed-price categories. I would not eliminate free SMS, substantially increase subscription prices, or move immediately to fully variable pricing. This gives Eat App a way to improve SMS profitability while maintaining the simple and predictable pricing that would support its product and then lead to a growth strategy.

1. For the option involving lowering SMS quotas, indicate by how much you would consider reducing SMS messages available for free in each tier. (NIA)

The free SMS allowance would be reduced by 50% amongst each subscription tier. The reduction would decrease Eat App's exposure to SMS costs while maintaining the value proposition associated with SMS. The significant variation in SMS costs across countries (Exhibit 11b) reduces the free allowance which is important in high cost markets. The option of retaining free SMS as opposed to eliminating the option, preserves the attractiveness and simplicity of the pre-existing tiers.

1. To evaluate the option involving adjusting fixed-rate category pricing, use the information in Exhibit 11b and propose up to 5 categories to classify the countries listed; indicate the price you propose per message in each category. (HEVEN)

Exhibit 11b shows that Eat App's current fixed-rate system doesn't adequately reflect the large differences in SMS costs across countries. Average SMS costs range from \$0.01 in the United States to \$0.57 in Russia, while Eat App generally charges only \$0.06 or \$0.10 per message. This causes substantial losses in high-cost markets such as Indonesia, Pakistan, Kuwait, and Russia.

To improve profitability while keeping pricing relatively simple for customers, I would expand the current two-category structure to five categories based on average SMS cost:

Proposed Category	Countries	Average Cost Range	Proposed Price per SMS
Category 1: Very Low Cost	United States, UAE, Singapore, Australia, United Kingdom	\$0.01–\$0.03	\$0.06
Category 2: Low Cost	Italy, Bahrain, Germany	\$0.04–\$0.06	\$0.12

Category 3: Moderate Cost	Netherlands, Saudi Arabia, Mauritius	\$0.07–\$0.10	\$0.20
Category 4: High Cost	Oman, Qatar, Nigeria, Kuwait	\$0.13–\$0.18	\$0.36
Category 5: Very High Cost	Pakistan, Indonesia, Russia	\$0.35–\$0.57	\$1.14

The proposed prices are designed around Eat App’s goal of earning approximately a 50% gross margin on messaging, meaning the selling price should generally be about twice the underlying SMS cost. The highest-cost country within each category is used as a guide so that Eat App is less likely to lose money within that group. Exhibit 11b shows, for example, that Russia costs Eat App \$0.57 per SMS even though customers are currently charged only \$0.10, while Pakistan and Indonesia cost approximately \$0.35-\$0.36 despite a current price of \$0.06.

I recommended replacing Eat App’s current two-category SMS pricing system with five categories based on the average cost of sending messages in each country. This approach better aligns customer prices with Eat App’s actual telecom costs and reduces the likelihood of losses in expensive markets. At the same time, using five categories instead of fully variable pricing preserves relatively simple and predictable pricing for restaurants. The proposed pricing of \$0.06, \$0.12, \$0.20, \$0.36 and \$1.14 per SMS provides a clearer connection between cost and price while helping Eat App move closer to its target messaging margin.

Haotian Q3. Should Eat App integrate WhatsApp as a lower-cost messaging option? If yes, how should it price and package this feature? Use data in Exhibit 11b and 11c, and focus on the Middle East and Western Europe.

Yes. Eat App should integrate WhatsApp, beginning with the Middle East and later expanding into Western Europe. This strategy complements the five-category SMS pricing system recommended in Q2 by giving restaurants in high-cost SMS markets a profitable alternative.

Cost Comparison

Based on Exhibits 11b and 11c, the average WhatsApp conversation costs approximately \$0.0244 in the Middle East and \$0.0438 in Western Europe. The corresponding weighted-average SMS costs are approximately \$0.0457 and \$0.0348.

Therefore, WhatsApp is about 47% cheaper than SMS on average in the Middle East, making it the strongest market for the initial launch.

Alignment with Q2

Under the Q2 pricing system, the proposed SMS prices are \$0.06 in the UAE, \$0.12 in Bahrain, \$0.20 in Saudi Arabia, and \$0.36 in Oman, Qatar, and Kuwait.

WhatsApp prices of \$0.06 for service conversations and \$0.09 for marketing conversations would provide significant savings in most Middle Eastern markets. In the UAE, WhatsApp may not be cheaper than one SMS, but one conversation can replace multiple messages.

Why Western Europe Should Also Be Included

Under Q2, the proposed SMS prices are \$0.06 in the United Kingdom, \$0.12 in Germany and Italy, and \$0.20 in the Netherlands. WhatsApp would be particularly attractive in the Netherlands and for service conversations in Germany and Italy.

Although one WhatsApp conversation costs more than one SMS on average in Western Europe, it becomes cheaper when it replaces more than approximately 1.26 SMS messages:

$$0.0438/0.0348=1.26$$

A reservation often requires a confirmation, reminder, modification, and customer response. WhatsApp can include these messages in one 24-hour conversation and also supports two-way communication at no additional cost.

Recommended Pricing

- Middle East service conversation: \$0.06
- Middle East marketing conversation: \$0.09
- Western Europe service conversation: \$0.10
- Western Europe marketing conversation: \$0.15

These prices generate approximately 60% gross margins before discounts and at least 50% with a maximum 20% bundle discount.

Packaging Recommendation

WhatsApp should be offered as a paid add-on instead of including a large free monthly quota. Starter customers could use pay-as-you-go pricing, while Essential and Pro customers could receive a one-time trial of 100 conversations. Pro could include advanced automation and marketing functions.

Conclusion

WhatsApp should launch first in the Middle East and later expand into Western Europe. Although it may reduce some SMS revenue, replacing expensive SMS messages with profitable WhatsApp conversations would improve Eat App's overall messaging margin. SMS should remain available as a fallback channel.

Julia Q4. If the Four Seasons pilot succeeds and achieves its targets, how should Eat App structure and price the enterprise deal to entice the hotel chain to switch from OpenTable? Specifically:

1. Based on the information in Exhibit 12, assess the **financial potential of Four Seasons switching to Eat App**. How does your recommended pricing factor into the assessment?

Exhibit 12 shows that the six pilot restaurants generated an estimated **625 covers over 90 days** through OpenTable. For the pilot to be considered successful, Eat App needed to exceed OpenTable's performance by at least 10%, which would require approximately **688 covers over 90 days**. OpenTable's comparable Pro pricing was **\$449 per month with a 30% volume discount, plus \$1 per cover**. If the pilot results were annualized, approximately **2,750 covers** would be generated per year at the 10% success target. For the six pilot restaurants, OpenTable's annual cost would be approximately:

- Subscription: $\$449 \times 70\% \times 6 \text{ restaurants} \times 12 \text{ months} = \mathbf{\$22,630}$
- Cover fees: $2,750 \times \$1 = \mathbf{\$2,750}$
- **Estimated annual OpenTable cost = \$25,380**

Eat App's Pro plan was **\$229 per month**, so six restaurants would cost $\$229 \times 6 \times 12 = \mathbf{\$16,488}$ before a volume discount. I would offer Four Seasons a **20% volume discount**, bringing the annual cost to approximately **\$13,190 for six restaurants**. This would give Four Seasons a meaningful cost advantage compared with OpenTable while still generating recurring revenue for Eat App. Because Four Seasons has approximately **400 restaurants**, the larger enterprise agreement could create substantial recurring revenue for Eat App. The volume of restaurants also gives Eat App room to offer a discount while still generating significant total revenue.

1. Should all onboarded restaurants be required to be on the Pro tier, or should flexibility be allowed per restaurant? What volume discount do you recommend? Would you offer further discounts for extending the contract beyond two years?

Flexibility should be allowed rather than requiring every restaurant to use the Pro tier. Four Seasons restaurants could choose the tier that best matches their size and needs. Larger, higher-volume restaurants could use **Pro**, while smaller restaurants could use **Essential or another appropriate tier**.

This would make the deal more attractive to Four Seasons because it would not have to pay for advanced features that every restaurant may not need. I would recommend a **20% volume discount** across the enterprise agreement. I would also offer an additional **5% discount for a contract longer than two years**. The longer commitment would give Eat App more predictable recurring revenue while giving Four Seasons an additional incentive to commit to Eat App.

1. How should integrations (such as PMS) be handled as part of the offer?

Standard PMS integrations should be included as part of the enterprise package, because PMS integration is particularly important to Four Seasons as a hotel company.

However, I would charge separately for **major custom integrations or extensive development work**. This would allow Eat App to make the enterprise deal attractive without absorbing potentially significant customization costs.

For example, standard PMS integration and implementation could be included, while a highly customized integration requested specifically by Four Seasons could have a **one-time implementation fee**.

Overall, the Four Seasons agreement should be structured around **a flexible tier system, a 20% volume discount, and an additional 5% discount for a contract longer than two years**.

Flexibility across tiers would allow restaurants to select plans based on their individual needs and usage levels. Standard PMS integrations should be included, while significant custom integrations should be priced separately. This approach would give Four Seasons a financial incentive to switch from OpenTable while allowing Eat App to generate substantial recurring revenue and protect its profitability.